

edifices we see, nor clear the fields where crops are planted, nor invent the automobile, the airplane, the television, or the toaster. We inherited those things and much more besides.

We know, too, that if you're born in New York rather than New Delhi, you're likely to be richer. And we know that if you're born to a rich family in midtown Manhattan, you're likely to be richer as an adult than if you're born to a poor family in Harlem. Yet how many people take responsibility for their children's wealth? How many figure out how to compound their success into the next generation and beyond?

There are many things that take longer than a single generation to accomplish. If you want mature oak trees lining your driveway, for example, you had better think in terms of generations or start very early. Olive trees can take an entire generation—35 years—before they produce a decent harvest. Then they live for centuries longer.

And what about a skill or a reputation? How long does it take to build a reputation as a great beer maker? A great winemaker? A great guitar maker? Or a great banker?

Not years. Generations.

The Martin family started making guitars in 1811. Now, everyone has heard of Martin guitars. The family is still making them.

The Beretta family is still making guns; the business was begun in 1526.

The Rothschilds have been in banking since the eighteenth century.

The Lemoine family started publishing books in Paris in 1772; they're still at it, too. And the Hoshi family in Japan has been running a hotel for 1,200 years!

Of course, these are rare examples. But there are a lot of businesses that involve delicate judgments, unusual habits, or the kind of specialized knowledge that is very hard to come by in a single generation or learned in school.

Parents mortgage their houses to send their kids to school. But the parent who advises his child to stay in school or attend graduate school may be doing him a big disservice.

The common belief is that people who get advanced degrees earn more than people who don't. Statistically, this is true. But it is misleading. It doesn't mean that any individual who gets a degree or advanced degree will